

**Before the
Federal Maritime Commission**

Docket No. 24-17

**Samsung Electronics America, Inc.
v.
Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.
v.
Samsung Electronics Company, Ltd.**

**MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENTS' MOTION TO STAY PROCEEDING**

Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. (“OOCL” or “Respondents”) submit this Memorandum in support of their motion to stay this proceeding (“Motion”).

INTRODUCTION

On March 31, 2025, the Presiding Officer issued an Order (“Order”) Granting the Motion of Samsung Electronics America, Inc. (“SEA”) to Dismiss Respondents’ Counterclaim (FMC Dkt. No. 38 - “Order”). Respondents have today filed an Appeal of the Order (“Appeal”). That Appeal has the effect of rendering the Order “inoperative.” 46 C.F.R. 502.27(a)(5), so that the Counterclaim remains in effect and SEA remains a counter-respondent for all purposes, including discovery. In addition, a Motion to Dismiss the Third-Party Complaint which was filed by the Third- Party Respondent, Samsung Electronics Company, Ltd. (“Samsung”), has been fully briefed and remains pending before the Presiding Officer. (FMC Dkt. Nos. 32-4, 36).

OOCL respectfully submits that it would be a grossly inefficient use of the parties' time and the Commission's judicial resources to move forward with discovery while the Appeal is pending, and Samsung's status in this proceeding remains unresolved. Respondents accordingly move for an Order staying this proceeding until the Respondents' Appeal, and Samsung's Motion to Dismiss, have been decided and Samsung's status in this proceeding is resolved.

ARGUMENT

I. This Proceeding Should Be Stayed

The Presiding Officer has broad authority to manage the course of a proceeding. *See*, 46 C.F.R. §502.25(b)(4). This authority is similar to the power afforded federal judges to control their dockets:

[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.

Landis v. N. Am. Co., 299 U.S. 248, 254 (1936).

In deciding whether to stay a proceeding, the judge to whom that proceeding is assigned is to balance the court's interest in judicial economy and any possible hardship to the parties. *United States SEC v. Deloitte Touche Tohmatsu CPA Ltd.*, 928 F.Supp.2d 43, 50 (D.D.C. 2013) (citing *Landis*). *See also, Airboss Defense Group, LLC v. Fedex Trade Networks Transport & Brokerage, Inc., et al.*, FMC Docket No. 24-14, Order Staying Proceeding (December 20, 2024) (proceeding stayed so parties could continue mediation and settlement discussions).

Here, a balancing of the interests weighs in favor of a stay.

The Counterclaim against SEA and the Third-Party Complaint against Samsung allege that those entities, acting in concert, willfully and knowingly engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges

that would otherwise apply, in violation of 46 U.S.C. § 41102(a). The underlying allegations of these pleadings derive from service contracts that Samsung entered into with OOCL, to which SEA is also bound, and from which Samsung and SEA received monetary benefits in the form of lower rates and extended free times. Discovery will be conducted on these issues if Respondents are permitted to prosecute the Counterclaim against SEA and the Third-Party Complaint against Samsung.

Moving forward with discovery while the pendency of the Counterclaim against SEA in this proceeding remains unresolved is not an efficient use of the parties' time or resources. As explained above, the FMC's Rules render the dismissal of the Counterclaim inoperative, so discovery will proceed against SEA with respect to the Counterclaim unless and until the Commission affirms the Order. And even should the Commission sustain the Order, there is every likelihood that the Commission will permit OOCL to file an Amended Counterclaim. All of this effort will be for naught if the Commission sustains the Order, but will have to be done over should the Commission permit an Amended Counterclaim.

Similarly, Samsung entered a limited appearance and has moved for dismissal on the grounds that the Third-Party Complaint must be served pursuant to the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters, 20 U.S.T. 361 (Nov. 15, 1965) ("Hague Convention"). Should the Presiding Officer deny Samsung's motion or determine that Samsung must be served through the procedures promulgated by the Hague Convention and give leave to OOCL to do so, then discovery should not go forward until Samsung is served and has substantively responded to OOCL's Third-Party Complaint. Moving forward with discovery between SEA and OOCL, without the participation of Samsung, would prolong this proceeding and require a second production of multiple witnesses for depositions, as Samsung would undoubtedly want to question witnesses produced by OOCL; and, if Samsung maintains that its ostensible relationship

with SEA is “arms-length,” then Samsung would also want to have the same opportunity to depose SEA’s witnesses.

Any, likely modest, delay in the commencement of discovery while awaiting the FMC’s ruling on the Appeal and a resolution of Samsung’s motion to dismiss the Third-Party Complaint will not prejudice or harm either party and will preserve the resources of all parties, their counsel, and the Commission.

CONCLUSION

For the reasons set forth herein, the Presiding Officer should issue an order staying further proceedings until a decision on the Appeal has been issued and Samsung has been substantively resolved and/or appeared before the Court.

DATED: April 16, 2025

Respectfully submitted,

/s/ Rebecca A. Fenneman

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CERTIFICATE OF SERVICE

I certify that on the 16th day of April, 2025, a true and correct copy of the foregoing Memorandum of Law In Support of Respondents' Motion to Stay Proceedings were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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